

Type of risk	Meaning
Natural (physical) risk	Loss from spoilage, fire, pest, flood or deterioration in storage
Price (market) risk	Loss from an adverse price change between purchase and sale
Economic / business risk	Loss from changes in demand, competition or trade conditions
Human risk	Loss from theft, careless handling, dishonesty or negligence
Credit risk	Loss from a buyer's failure to pay for goods sold on credit

Devices to reduce or transfer risk

Risks are minimised by several devices: grading and scientific storage to cut physical loss; insurance to transfer natural risk; forward and futures contracts to lock a price and transfer price risk; reliable market information to reduce uncertainty; and spreading sales over time rather than dumping the whole crop at harvest.

Hedging: Protecting against a price fall by taking an opposite position in the futures market. A seller who fears a price drop sells a futures contract, so a loss on the physical crop is offset by a gain on the contract.

Each risk has its own remedy. Natural risk is met by insurance and good storage. Price risk is met by hedging, forward sale and staggered selling. Credit risk is met by selling for cash or checking the buyer's standing. Human risk is met by careful handling and honest staff. Matching the remedy to the risk is the practical skill being tested.

□ **Worked example:** A trader buys 100 quintals of soybean expecting to sell after two months, but fears a price fall. He sells an equal quantity of soybean futures today. If the price falls, he loses on the physical stock but gains on the futures, and the two largely cancel — that is hedging against price risk.

□ **Agri Officer Lens:** An Agricultural Officer reduces a farmer's risk on two fronts at once — enrolling the crop under the Pradhan Mantri Fasal Bima Yojana to cover natural risk, and using warehouse receipts plus eNAM price trends to spread sales and soften price risk.

1.8 Market Information, Intelligence and News

Three related terms must be separated precisely.

Market information: The current data on prices, arrivals, stocks and demand in different markets — the raw facts of the present situation.

Market intelligence: The analysis of past and present information to forecast the likely future course of prices — the interpretation, not merely the data.

Market news: The regular reporting and dissemination of market information and intelligence to producers, traders and the public.

Qualities of good market information

Good marketing information must meet clear criteria: it should be complete, accurate, timely, reliable, comparable across markets, and easily understood. Information that is late or unreliable widens the price gap between farmer and consumer and lets the better-informed trader exploit the farmer.

Information also corrects a power imbalance. The organised trader has always known prices in many markets, while the isolated farmer knew only the local rate. By spreading daily prices to every farmer, portals such as AGMARKNET shift bargaining power towards the producer and help markets move together.

Term	What it is	Example
Market information	Present facts	Today's price of tur in Kalaburagi mandi
Market intelligence	Forecast from analysis	Tur price likely to rise next month
Market news	Dissemination	Daily price bulletin on AGMARKNET
□ Remember: Information = today's price (the data). Intelligence = next month's likely price (the forecast). AGMARKNET is the national portal that disseminates daily mandi prices and arrivals.		

1.9 Marketing Research and Training Institutions

Several institutions research, regulate, train for and support agricultural marketing. The examination tests their full forms and roles.

Institution	Full form / role
DMI	Directorate of Marketing and Inspection — grades and certifies AGMARK quality
SAMBs	State Agricultural Marketing Boards — coordinate regulated markets in a State
ICAR	Indian Council of Agricultural Research — research and education
NCAER	National Council of Applied Economic Research — economic and market research
SAUs	State Agricultural Universities — teaching, research and extension
CAM	Centre for Agricultural Marketing (national-level marketing training)
ISAM / CCS NIAM	Institute / National Institute of Agricultural Marketing, Jaipur — apex training body
NAFED	National Agricultural Cooperative Marketing Federation — price-support buying
SFAC	Small Farmers' Agribusiness Consortium — promotes FPOs and operates eNAM
KSAMB	Karnataka State Agricultural Marketing Board — apex body over the State's APMCs

Their roles fall into groups. The DMI and the marketing boards regulate and grade. ICAR, NCAER and the SAUs research and teach. NIAM and CAM train marketing officers. NAFED and SFAC act in the field — NAFED buying under price support and SFAC promoting Farmer Producer Organisations and running eNAM. Knowing the group a body belongs to fixes its role.

□ **Agri Officer Lens:** Jaipur's National Institute of Agricultural Marketing trains marketing officers, while KSAMB is the body to which a Karnataka Agricultural Officer actually reports market data. Knowing that SFAC — not the APMC — is the national agency operating eNAM is a frequent discriminator.

1.10 Market Structure, Conduct, Performance and Efficiency

The structure-conduct-performance (SCP) framework links three connected ideas used to judge how well a market works.

Element	Meaning
Structure	The number and size of buyers and sellers, degree of product differentiation and entry conditions
Conduct	How firms actually behave — pricing, collusion, trade practices
Performance	The result — efficiency, the producer's share, price stability and progress

The framework reads in one direction. Structure shapes conduct, and conduct shapes performance. A concentrated structure, with few large buyers, allows collusive conduct, which yields poor performance — a low producer's share. A competitive structure makes such conduct hard and improves performance. Reform therefore attacks structure first, by widening the number of buyers.

Marketing cost, margin and price spread

Marketing cost: The actual expenses incurred in performing marketing functions — transport, loading, commission, storage, packing and losses.

Marketing margin: The difference between the price received by a seller and the price paid by him — the gross return of a middleman, covering his costs and profit.

Price spread: The difference between the price paid by the consumer and the price received by the producer. It equals total marketing costs plus the margins of all intermediaries.

Producer's share: The price received by the farmer expressed as a percentage of the price paid by the consumer. The higher this share, the more efficient the marketing system.

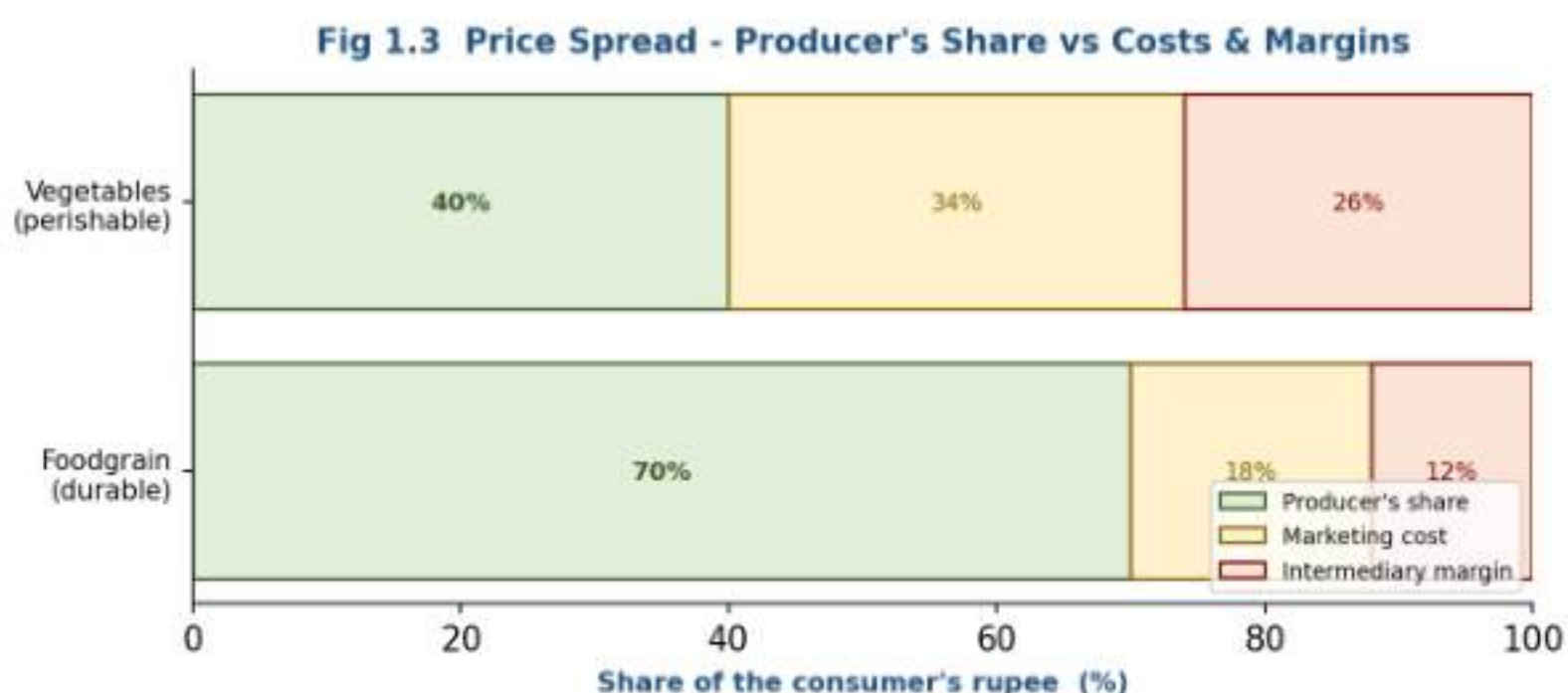


Figure 1.3 Price spread — perishables show a wider spread and a smaller producer's share than durable foodgrains.

□ **Worked example:** If a consumer pays Rs.40 per kg for tomatoes while the farmer received Rs.16, the price spread is Rs.24. If marketing costs are Rs.14 and intermediary margins Rs.10, the two sum to the Rs.24 spread. The producer's share is $16 \div 40 = 40$ percent — typical for a perishable, far below the 70 percent a foodgrain farmer keeps.

□ **Worked example:** A wheat farmer is paid Rs.21 per kg and the consumer pays Rs.30. The price spread is Rs.9 and the producer's share is $21 \div 30 = 70$ percent. The durable grain shows a narrower spread and a larger share than the perishable tomato — the standard contrast the examiner wants.

Measures of marketing efficiency

Marketing efficiency is the ratio of the output of the marketing system to the resources used. Two measures are tested. Shepherd's formula treats efficiency as the value of goods marketed divided by total marketing cost. Acharya's Modified Marketing Efficiency (MME) index refines this by relating the producer's net price to the total marketing cost and margin, giving a fuller picture.

Efficiency has two sides. Technical or operational efficiency means performing the physical functions at the least cost, by cutting waste in transport and storage. Pricing or allocative efficiency means that the price paid to the farmer fairly reflects the price paid by the consumer, with a reasonable margin. A good system raises both together.

Market integration

Market integration means that prices in different markets move together. Spatial integration links markets across places; temporal integration links prices over time; vertical integration links successive stages of the chain. A well integrated market transmits a price change in one yard quickly to others, which is a sign of efficiency, not of malfunction.

□ **Remember:** A wide price spread and a high marketing cost both mean LOW efficiency and a LOW producer's share. High market integration, by contrast, is GOOD — it shows markets are well connected.

1.11 Producer's Surplus — Marketable and Marketed Surplus

Marketable surplus: The quantity of produce left with the farmer after meeting the family's own requirements of seed, feed, payments in kind and household consumption. It is the theoretical quantity available for sale.

Marketed surplus: The quantity of produce that the farmer actually sells in the market, whatever the level of the marketable surplus.

Marketable surplus is found by subtracting the farmer's total requirements from his total production. The requirements include family consumption, seed for the next crop, feed for cattle, wages paid in kind, and any payment of rent in kind. Whatever remains is, in theory, available for sale.

Why the two surpluses differ

The two need not be equal. For a large farmer the marketed surplus roughly equals the marketable surplus. For a small or subsistence farmer the marketed surplus can exceed the marketable surplus, because distress sale forces him to sell even produce he needs and to buy it back later at a higher price. For a heavily commercial crop, the two are nearly identical.

Farmer / crop	Relation	Reason
Large farmer	Marketed $\approx$ Marketable	Sells the true surplus, holds nothing extra

Farmer / crop	Relation	Reason
Small / distress farmer	Marketed > Marketable	Sells even produce needed, buys back later
Commercial cash crop	Marketed = Marketable	Almost all output is grown for sale

□ **Worked example:** A small paddy farmer produces 20 quintals and his family needs 8 quintals for food and seed, giving a marketable surplus of 12 quintals. Pressed for cash, he sells 15 quintals at harvest and buys back 3 quintals months later at a higher price. His marketed surplus of 15 exceeds his marketable surplus of 12 — the mark of distress sale.

□ **Remember:** Marketable = what CAN be sold (after own needs). Marketed = what IS sold. Distress sale makes the poor farmer's marketed surplus exceed his marketable surplus — a classic single-line question.

1.12 Regulation of Agricultural Marketing and the APMC System

Unregulated markets bred malpractices — wrong weighment, arbitrary deductions, unauthorised charges, secret price settlement and adulteration — all of which fell on the weaker farmer. Regulation was introduced to end these abuses.

Malpractices in unregulated markets

The common malpractices were many. Weighment was manipulated against the farmer. Unauthorised deductions were taken in the name of charity, religion or sample. The price was settled in secret by signals. Produce was bought on credit with delayed payment. Many small, unregulated charges added up to a heavy cut from the farmer's price. Regulation aimed to end each of these.

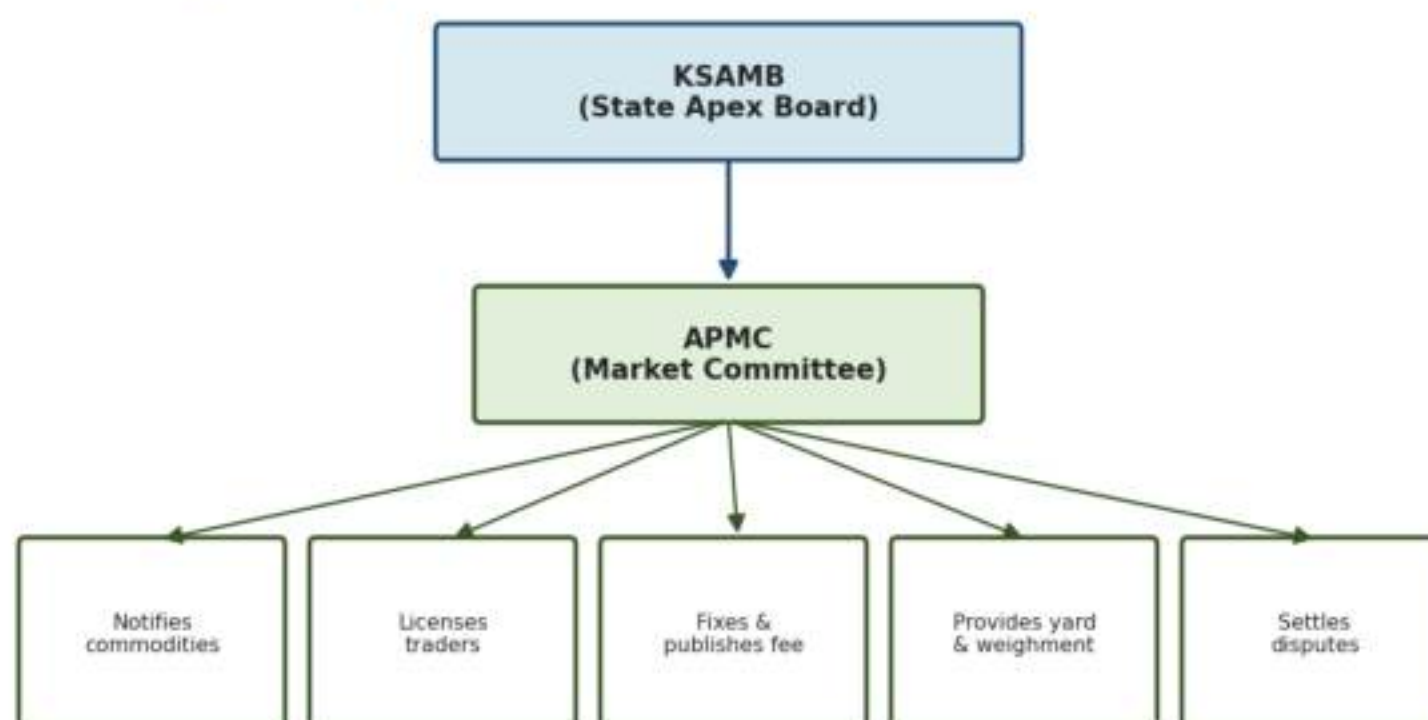
Objectives of market regulation

The objectives are to remove malpractices, ensure correct weighment, fix and publicly display fair charges, provide open price discovery through auction, settle disputes quickly, and supply reliable market information. The wider importance is the restoration of the small farmer's bargaining power against organised trade.

The APMC system in Karnataka

In Karnataka regulated markets operate under the Karnataka Agricultural Produce Marketing (Regulation and Development) Act, 1966. Each market is governed by an Agricultural Produce Market Committee (APMC), which notifies commodities, licenses traders and commission agents, fixes and publishes the market fee, provides yard infrastructure and weighment, and settles disputes. The apex body is the Karnataka State Agricultural Marketing Board (KSAMB), and the State has roughly 162 main market committees besides many sub-yards. Figure 1.4 shows the structure.

Fig 1.4 Regulated Market / APMC Structure in Karnataka



Governing law: Karnataka APM (Regulation & Development) Act, 1966 . –162 APMCs

Figure 1.4 Regulated market / APMC structure in Karnataka under the 1966 Act.

Functions of the market committee

The market committee runs the regulated yard day to day. It issues licences to traders, agents and weighmen, and can cancel them for misconduct. It enforces open auction and correct weighment, collects the notified market fee, maintains the yard, godowns and water, publishes daily prices and arrivals, and decides disputes between farmers and traders. Through these tasks it protects the producer at the point of first sale.

Characteristics of a good market and the ideal marketing system

A good market has correct weighing, open and competitive price discovery, low and publicly known charges, prompt cash payment, quick dispute settlement and reliable market information. An ideal marketing system is one that secures for the producer the largest possible share of the consumer's rupee, moves produce with the least possible waste, and supplies the consumer with quality produce at a fair price.

□ **Agri Officer Lens:** When a farmer complains of short-weighment by a trader, the Agricultural Officer's first step is to refer it to the APMC secretary under the 1966 Act. The Act's name, the role of the APMC and the apex position of KSAMB are directly job-relevant and frequently examined.

1.13 Cooperative Marketing, Price Policy and Scientific Marketing

Cooperative marketing lets farmers pool their produce and bargain collectively, capturing for themselves the margin that a private trader would take. NAFED is the national apex agency for price-support purchase of pulses and oilseeds. Karnataka has strong institutions: HOPCOMS markets fruits and vegetables, KAPPEC handles processing and export promotion, and the Karnataka Milk Federation (KMF) runs the Nandini brand on the three-tier Anand pattern.

Advantages of cooperative marketing

Cooperative marketing brings several gains. It strengthens the bargaining power of the small farmer by pooling produce. It removes the chain of middlemen, so a larger share reaches the producer. It provides credit against the pooled stock, freeing the farmer from distress sale. It offers grading, storage and transport that no single small farmer could afford, and it returns any surplus to members as a bonus.

The dairy cooperative is the model success. Under the three-tier Anand pattern, a village society collects milk, a district union processes it, and a State federation markets it. In Karnataka this structure is the Karnataka Milk Federation selling under the Nandini brand — proof that cooperation can give the small producer a steady, fair and daily market.

Price policy — MSP, CACP and procurement

The Minimum Support Price (MSP) is the floor price the government promises for notified crops, protecting the farmer from a price crash at harvest. It is recommended by the Commission for Agricultural Costs and Prices (CACP) and approved by the Cabinet Committee on Economic Affairs. Three prices must be kept distinct: the MSP protects the farmer; the procurement price is the price at which agencies actually buy for the buffer stock; the issue price is the subsidised price at which the public distribution system sells. The Food Corporation of India procures cereals, while NAFED procures pulses and oilseeds. MSP currently covers 23 crops.

Price	Meaning	Protects / serves
Minimum Support Price	Guaranteed floor price at harvest	The producer against a price crash
Procurement price	Price at which agencies actually buy	Building the buffer stock
Issue price	Subsidised PDS selling price	The poor consumer through ration shops

The CACP weighs several factors before recommending the MSP — the cost of production, demand and supply, price trends, the parity between input and output prices, and the likely effect on the consumer and on the wider economy. Its recommendation goes to the Cabinet Committee on Economic Affairs, which makes the final decision.

Scientific marketing of farm products

Scientific marketing means planning the entire marketing sequence in advance rather than selling on impulse at harvest. It covers proper harvesting at the right maturity, grading and standardisation, suitable packaging, scientific storage, choice of the right market, use of price information, and timing of sale to secure the best NET return — that is, the highest price after deducting all marketing costs, not merely the highest gross price.

❑ **Worked example:** A grower is offered Rs.2,000 per quintal in the local mandi and Rs.2,200 in a distant city. Transport, loading and commission to the city come to Rs.250 per quintal. The net from the city is Rs.1,950 — below the local Rs.2,000. Scientific marketing tells him to sell locally, because the higher gross price gives the lower net return.

❑ **Remember:** CACP only RECOMMENDS the MSP; the Cabinet approves it. Selling at the highest gross price far away can yield a lower net return after transport — scientific marketing optimises the net.

1.14 Market Reforms and Digital Marketing

Reform has aimed at widening the farmer's choice of where and to whom to sell. The Model APMC Act of 2003 recommended private markets, direct marketing and contract farming. Karnataka adopted these early and went further than most States.

Direction of market reforms

Reforms have moved along a clear path. First, the State monopoly on first sale was loosened, so produce could be sold outside the notified yard. Second, private and direct markets and contract farming were allowed. Third, electronic trading linked many markets into one. Each step widened the farmer's options and weakened the local monopoly of a single mandi.

Contract farming: An arrangement in which a farmer agrees in advance to supply a buyer a stated quantity and quality of produce at an agreed price. It assures the farmer a market and the buyer a steady, graded supply.

Two digital platforms are central. eNAM (National Agriculture Market) was launched on 14 April 2016 and is operated by SFAC; it links mandis across the country into one online market. Karnataka had already built its own Unified Market Platform (UMP) through Rashtriya e-Market Services (ReMS), a 2014 joint venture of the State Government and NCDEX — making Karnataka the first State to run a state-wide online unified trading platform. The Karnataka APMC Amendment of 2020 further allowed trade outside notified yards under a licence valid for three years.

Reform / platform	Year	Run by / nature
Model APMC Act	2003	Centre — model law suggesting private & direct markets
ReMS / Unified Market Platform	2014	Karnataka Govt + NCDEX — first state-wide e-platform
eNAM (National Agriculture Market)	2016	SFAC — national online mandi network
Karnataka APMC Amendment	2020	Karnataka — trade allowed outside notified yards

These digital markets benefit the farmer directly. A single online auction draws buyers from many districts, widening competition and raising the bid. Quality is fixed by assaying, so a graded lot earns a premium. Payment is made online into the farmer's account, cutting delay and deduction. The platform also leaves a price record that improves market information.

□ **Remember:** Two dates win marks: ReMS / UMP = 2014 (Karnataka, with NCDEX); eNAM = 2016 (national, 14 April, with SFAC). Karnataka's platform came FIRST.

1.15 Grading, Standardisation and Warehousing

Grading: Sorting produce into lots of uniform quality according to recognised standards of size, colour, moisture and purity.

Standardisation: Establishing fixed and recognised norms of quality, weight and measure, so that produce can be traded by grade name without physical inspection of every lot.

Grading sorts produce into lots of uniform quality, which builds buyer trust and raises the price a farmer can command. AGMARK is the quality certification mark for agricultural produce, managed by the Directorate of Marketing and Inspection (DMI). Standardisation establishes uniform quality norms so that trade can take place by grade name without physical inspection of every lot.

Benefits of grading and standardisation

Grading helps every party. The farmer earns a premium for a better grade and is paid for true quality. The buyer can purchase by grade name from a distance, even online, without inspecting each lot. The consumer gets assured quality. And the market as a whole trades faster and with fewer disputes, because the grade carries the information that the buyer needs.

Warehousing and the warehouse receipt

Scientific warehousing cuts post-harvest loss and lets a farmer wait for a better price instead of selling at harvest. The Warehousing Development and Regulatory Authority (WDRA) regulates Negotiable Warehouse Receipts, which a farmer can pledge to a bank for a loan while the stock remains in store — converting storage from a holding cost into a source of finance.

□ **Worked example:** A farmer stores 50 quintals of maize in a WDRA-accredited warehouse and receives a Negotiable Warehouse Receipt. He pledges it to a bank for a loan covering his immediate cash needs, avoids a distress sale, and sells three months later when the price has

risen — repaying the loan from the higher proceeds.

1.16 Retailing — Traditional and Modern

Retailing: The final stage of marketing — the sale of goods in small quantities directly to the final consumer.

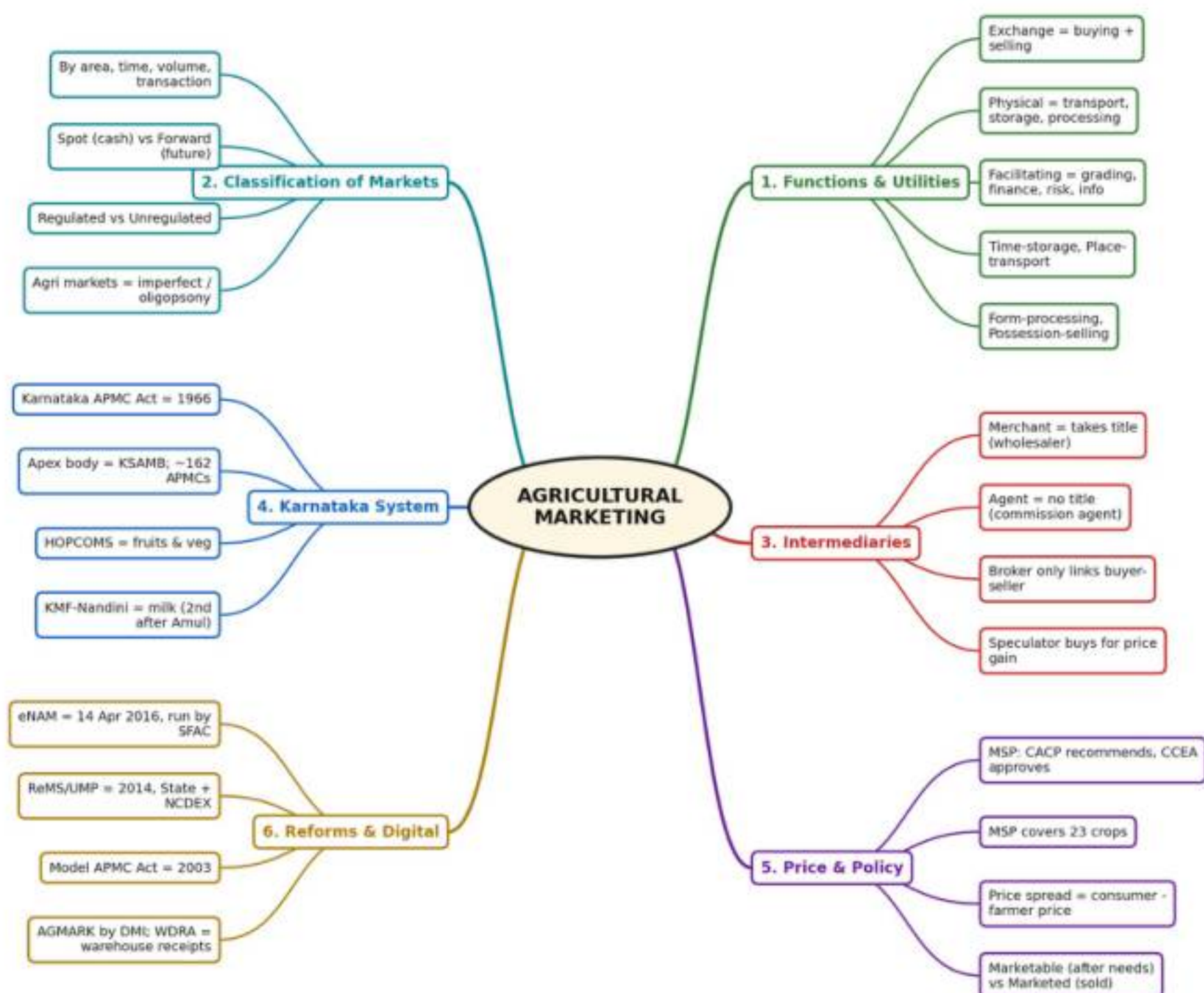
Traditional retailing is carried on through small, unorganised outlets — the local kirana shop, the weekly santhe, hawkers and street vendors. Its advantages are low cost, proximity, personal relationship and credit to known customers. Its disadvantages are the absence of grading, quality assurance or cold chain, limited variety and small scale.

Modern (organised) retailing operates through supermarkets, hypermarkets, chain stores and online platforms with standard pricing, grading, branding and cold chains. Its advantages are quality assurance, lower waste, wider choice and a steadier market for graded produce. Its disadvantages are high investment, the squeezing of small shops, and strict and steady supply standards that an individual small farmer struggles to meet alone.

Point	Traditional retailing	Modern retailing
Outlet	Kirana, santhe, vendor	Supermarket, chain, online
Grading & cold chain	Largely absent	Standard practice
Price	Variable, negotiable	Fixed and displayed
Investment	Low	High
Supply demanded	Small, irregular	Large, graded, steady

□ **Agri Officer Lens:** When a modern retail chain wants a steady supply of graded vegetables, the Agricultural Officer steers the contract to a Farmer Producer Organisation rather than to a lone farmer — turning the chain's demand for quality and volume into an opportunity for the cooperative rather than a barrier for the individual.

Chapter Mind Map



Mind Map — Agricultural Marketing

Key Terms at a Glance

Term	One-line meaning
Marketing	All activities moving goods from producer to consumer
Four utilities	Time (storage), Place (transport), Form (processing), Possession (selling)
Function classes	Exchange, Physical, Facilitating
Price spread	Consumer price – producer price = costs + margins
Producer's share	Farmer price as % of consumer price (higher = efficient)
Marketable surplus	Produce left after the family's own needs
Marketed surplus	Produce actually sold

Term	One-line meaning
MSP	Floor price; CACP recommends, Cabinet approves; 23 crops
APMC Act (Karnataka)	1966; apex body KSAMB; ~162 APMCs
eNAM / ReMS	eNAM 2016 (SFAC); ReMS-UMP 2014 (State + NCDEX)
AGMARK / WDRA	AGMARK quality by DMI; WDRA regulates warehouse receipts

PART B – Objective Questions and Answers

Work through these after reading the theory. Each question gives the answer below it; the explanation, where added, names the common mistake.

Q1. In economics, a 'market' essentially refers to:

- (a) A fixed physical place only
- (b) The whole body of buyers, sellers and the price-fixing process
- (c) Only a wholesale mandi
- (d) A retail shop

Ans. (b) — a market is the set of buyers and sellers and the process of price determination; it need not be a physical place.

Q2. Which statement best distinguishes marketing from selling?

- (a) They mean the same thing
- (b) Selling begins before production; marketing after
- (c) Marketing is the whole flow; selling is only the act of sale
- (d) Selling is wider than marketing

Ans. (c) — marketing is the entire flow from planning to delivery; selling is the single act within it.

Q3. Input marketing deals with the flow of goods from:

- (a) Farmer to consumer
- (b) Industry to farmer
- (c) Wholesaler to retailer
- (d) Farmer to exporter

Ans. (b) — input marketing carries seed, fertiliser and machinery from industry to the farmer.

Q4. A primary (assembling) market is one where:

- (a) Goods are exported abroad
- (b) The producer makes the first sale of produce
- (c) Only retailers buy
- (d) Futures are traded

Ans. (b) The primary or assembling market is where the farmer first sells, typically the taluk APMC yard.

Q5. Time utility in agricultural marketing is created by:

- (a) Transport
- (b) Processing
- (c) Storage
- (d) Selling

Ans. (c) Storage — it makes produce available at a later, better time. (Transport → place; processing → form.)

Q6. Place utility is created mainly by the function of:

- (a) Storage
- (b) Transportation
- (c) Grading
- (d) Financing

Ans. (b) Transportation moves produce to where it is wanted.

Q7. Possession utility is created by:

- (a) Processing
- (b) Storage
- (c) Selling (exchange)
- (d) Packaging

Ans. (c) Selling — the act of transferring ownership creates possession utility.

Q8. Form utility in marketing is created by:

- (a) Storage
- (b) Transport
- (c) Processing
- (d) Financing

Ans. (c) Processing changes produce into a usable form — paddy to rice, milk to powder.

Q9. Grading and standardisation belong to which class of marketing functions?

- (a) Exchange
- (b) Physical
- (c) Facilitating
- (d) Speculative

Ans. (c) Facilitating functions — along with financing, risk-bearing and market information.

Q10. Which is a physical marketing function?

- (a) Risk-bearing
- (b) Financing
- (c) Storage
- (d) Market information

Ans. (c) Storage. The others are facilitating functions.

Q11. Buying (assembling) and selling (dispersion) are classed as:

- (a) Physical functions
- (b) Facilitating functions
- (c) Exchange functions
- (d) Speculative functions

Ans. (c) Exchange functions — they transfer ownership and create possession utility.

Q12. The approach that traces a single commodity from farm to consumer is the:

- (a) Functional approach
- (b) Institutional approach
- (c) Commodity approach
- (d) Managerial approach

Ans. (c) Commodity approach. (Functional follows activities; institutional follows agencies.)

Q13. The four Ps — Product, Price, Place, Promotion — belong to which approach?

- (a) Functional
- (b) Commodity
- (c) Managerial / decision
- (d) Institutional

Ans. (c) The managerial approach studies the firm's marketing mix, the four Ps.

Q14. In the under-cover (Hatha) method of sale, the price is settled by:

- (a) Open shouting of bids
- (b) Sealed written tenders
- (c) Finger signals under a cloth
- (d) A flat rate for a mixed heap

Ans. (c) By pressing or twisting fingers under a cloth.

Q15. The Dara method of sale means produce is:

- (a) Sold by sealed tender
- (b) Mixed into one heap and sold at a flat rate
- (c) Sold by secret verbal price
- (d) Auctioned openly

Ans. (b) Different qualities are mixed into one heap and sold at a single flat rate.

Q16. Sale at a secret price agreed verbally between two parties is called:

- (a) Moghum sale
- (b) Dara sale
- (c) Open auction
- (d) Tender

Ans. (a) Moghum sale.

Q17. The most transparent method of sale, promoted by market regulation, is:

- (a) Hatha
- (b) Moghum
- (c) Open auction
- (d) Private negotiation

Ans. (c) Open auction — bids are public, so price discovery is transparent.

Q18. A commission agent (arhatiya) is best described as a middleman who:

- (a) Takes title to the goods
- (b) Does not take title and works on commission
- (c) Processes the goods
- (d) Only stores the goods

Ans. (b) An agent middleman never owns the goods; he sells on another's behalf for a commission.

Q19. A kachha arhatiya works on behalf of the:

- (a) Buyer
- (b) Seller (farmer)
- (c) Government
- (d) Processor

Ans. (b) The kachha arhatiya represents the seller; the pacca arhatiya represents the buyer.

Q20. Which functionary takes title (ownership) of the goods?

- (a) Broker
- (b) Commission agent
- (c) Wholesaler
- (d) APMC

Ans. (c) Wholesaler (a merchant middleman). Brokers, commission agents and the APMC do not take title.

Q21. A longer marketing channel generally results in:

- (a) A larger producer's share
- (b) A smaller producer's share
- (c) No change in producer's share
- (d) Lower consumer price

Ans. (b) More intermediaries add more margins, so the producer's share falls.

Q22. Risk of loss due to a buyer failing to pay for goods sold on credit is:

- (a) Natural risk
- (b) Price risk
- (c) Credit risk
- (d) Human risk